

Risks & Catalysts

Key Risks

- Global telecom carrier spending remains cyclical and sensitive to macroeconomic conditions, which may continue pressuring Nokia's core infrastructure businesses.
- Slower-than-expected 5G deployment cycles and weaker carrier capital expenditures could limit revenue growth and operating margin expansion.
- Competitive pressure from Ericsson and Huawei may continue impacting pricing dynamics, market share, and profitability within telecom infrastructure markets.
- Nokia's transition toward higher-margin AI, optical networking, and cloud infrastructure businesses may take longer than expected, creating execution risk.
- Dependence on accelerating AI infrastructure demand creates potential downside risk if hyperscaler investment slows or becomes more cyclical.
- Integration and operational risks associated with the Infinera acquisition could pressure near-term operating efficiency and profitability.

Key Catalysts

- Accelerating AI datacenter investment and hyperscaler networking demand could support stronger growth in Nokia's optical networks and network infrastructure segments. Nokia reported AI and cloud customer sales growth of 49% during Q1 2026 and approximately €1B in AI-related orders.
- Continued expansion of higher-margin software, licensing, and cloud-related revenue streams may improve Nokia's overall profitability and earnings quality.
- Strong growth in optical networks and improving product mix could support long-term margin expansion and valuation rerating. Nokia's Q1 2026 comparable operating margin improved to 6.2%, while optical networks grew approximately 20% year-over-year.
- Successful integration of Infinera may strengthen Nokia's competitive positioning in optical networking and hyperscaler infrastructure markets. The acquisition positions Nokia as the second-largest optical networking vendor globally.
- Stabilization in telecom operator spending and improving operating leverage could support stronger free cash flow generation and earnings growth over time.

- Nvidia announced a strategic partnership and \$1 billion equity investment in Nokia to accelerate development of AI-native 5G-Advanced and 6G infrastructure. The partnership supports Nokia's expansion into AI-RAN, optical networking, hyperscaler infrastructure, and edge AI networking markets. Nvidia's investment may serve as external validation of Nokia's strategic positioning within next-generation AI infrastructure and telecommunications networks.

Selected sources include Reuters, Nokia earnings reports, Telecoms.com, and industry networking analyses (2025–2026).